Cash Budget

The Teashop

Scenario

The Teashop are new to budgeting and wish to understand how to plan and understand potential cash flow for Q1 2023 and to prepare a simple cash budget.

You have been provided with the following extracted information:

	Nov £	Dec £	Jan £	Feb £	March £
Sales	8,000	12,000	10,000	12,000	18,000
Purchases	5,000	11,000	10,000	15,000	8,000
Other expenses	3,000	8,000	9,000	2,000	5,000
Opening cash	700				

Additional information:

Sales are received 2 months after the invoice is issued

Purchases are paid one month after the date of purchase

Other expenses are paid within the month they are incurred

Required:

Prepare the cash budget for Q1 2023 covering January, February and March